Technical report — Mandate Desk: mandate-bounded payment agents for Swiss fiduciaries

- **Track:** Track 2B — Mandate Desk
- **Event:** Online
- **Team:** hack-1 — Sohee Lee
- **Demo:** `link to video`

1. Architecture

```
invoice ──► [Apertus: extract fields] ──► [Badge: mandate checks in code] ──fail──► reject / to a person
                                                  │ pass
                     [Verification: Apertus quotes where it read each value, code checks the quotes]
                                                  │ pass
                           [Apertus: review vs firm manual + lessons] ──► pay / to a person
pay ──► pain.001 per client          to a person ──► queue ──► approve (one-time grant) / reject + note
                                                        note ──► mask ──► [Apertus: distil rule] ──► manual

every agent request is signed with its own key ──► [Gate: G1 signature · G2 replay · G3 identity
                                                  · G4 badge · G5 client mandate] ──► executed or refused
every request, outcome and human action ──► signed, hash-chained ledger (with the signed request)
```

Component	File
Synthetic data (mandates, suppliers, invoices, labels), deterministic	`datagen.py`
Apertus client with record/replay cache (one OpenAI-compatible endpoint)	`llm.py`, `prompts.py`
Badge (hard mandate checks), verification (written in the invoice, quotes, possible duplicate), client-signed mandate	`badge.py`, `credential.py`
Decision paths (baseline, harness), lessons	`decide.py`, `lessons.py`
Identity (Ed25519, did:key, ID card, badge, signed requests), gate, desk (deploy, kill switch, replace, grants)	`identity.py`, `gate.py`, `desk.py`
Risk score (logistic regression, pure Python), attack scenarios	`risk.py`, `security.py`
Signed ledger, payment files, reviewer web app (FastAPI, port 8000)	`ledger.py`, `pain001.py`, `app.py`

All under `src/agent/`; everything runs in pure Python except the Apertus calls.

Target architecture (mandatory)

a) On-premise, with **b) air-gapped** operation possible: a fiduciary holds client bank details, salaries and supplier relationships, so the design keeps everything on the firm's own infrastructure.

- **Runtime:** one container (Python 3.11, FastAPI, Uvicorn, cryptography) and one OpenAI-compatible endpoint serving Apertus 8B, run by the firm or a Swiss hosting partner (only the Public AI API was tested). No other network access: no payment provider, no external API. Payments leave only as a pain.001 file the firm uploads to the client's bank.
- **Build time:** the `python:3.11-slim` image, three pip packages, Apertus weights from Hugging Face; all can be mirrored internally, so the runtime can be air-gapped.
- **During development** we used the Public AI inference API because the organiser's CSCS key was not at hand. The endpoint is read from `LLM_BASE_URL`; CSCS and a self-hosted server were not tested. Recorded responses make the evaluation independent of the endpoint.

Agent identity, gate and record

The harness answers *what* the agent may do; this layer answers *who* did it and lets anyone check. The concept follows KYA-OS (Know Your Agent OS: identity, delegation, signed proof, ledger), built by Vouched and donated to the Decentralized Identity Foundation in March 2026, whose reference implementation `@kya-os/mcp` is MIT-licensed; the author's earlier "Agentic ID" project built on it and added the lesson layer. This project re-implements the ideas in pure Python and contains no KYA-OS code.

Principal	Key	Signs
Client company	own Ed25519 key (did:key, recorded at onboarding)	the mandate: scope, limits, validity, delegate = the firm
Fiduciary firm	firm key	each agent's ID card (duty, the client manager who manages it, head of payments, *is AI*) and badge (actions, its one client, cap, validity)
Agent: one seat per client, one key per generation	own key → DID	every request: action, client, payload hash, nonce, time
Ledger	ledger key	every entry, on top of the hash chain

The **gate** checks each request: G1 signature and payload hash; G2 nonce unseen and request fresh; G3 firm-issued ID card, agent not revoked; G4 the badge covers action, client, date and amount (a payment needs a positive amount, a case and an IBAN; above the cap only with a human grant for exactly this payment, used up once; a "pay" that is not marked as executing a payment is refused); G5 the client's mandate is validly signed, names the firm, is in force, and the amount is within its single limit unless a human granted it. One seat per client means one client's agent cannot act for another and data never mixes. **One-click deployment** checks the mandate, issues the card, derives the badge from the mandate, fixes the manual and self-tests against the gate before the agent goes on duty; the **kill switch** revokes one seat only; **replacing** an agent issues a new key while the seat's lessons carry over.

A payment decision and its payment file are one step: the file is written first; if it fails validation, cannot be written or the gate refuses it, the decision is voided and the invoice waits for a person. Each payment is its own batch with its own message ID; an issued file is never rewritten. In the web app, this month's payments come from the ledger and the hard checks run again under a lock just before paying.

The **ledger** opens with the firm and ledger DIDs, every client mandate with its signature, and each agent generation's card, badge and manual fingerprint. Each request is kept whole (signed stamp and payload) and the recorded fields are taken from the payload. An auditor can check from the ledger alone that every executed action was signed by an agent the firm issued and had not revoked, and that the entry says what was signed (`audit_identities`; reference run 78 of 78). FINMA Guidance 08/2024 calls for the identification, assessment, management and monitoring of AI risks; the EU AI Act requires automatic logs (Art. 12) and human oversight including a way to stop the system (Art. 14) for high-risk AI systems. We did not assess whether this use is high-risk; this is not a compliance assessment.

2. Summary

Around 12,900 Swiss firms do accounting, bookkeeping and tax work (NOGA 6920; secondary source, Valindex 2026-02), most with 1–9 employees. A daily task is paying supplier invoices for many small clients, each of which delegated a different scope and limit. Mandate Desk is an agent that pays them within each client's signed delegation, on four axes:

- **Mandate and authority.** Each client signs a mandate (scope, limits, validity, delegate = the firm). Each client gets its own agent with its own key and DID, a firm-signed ID card and a badge derived from the mandate. Every request the agent makes is signed and checked by a gate (five checks) before it takes effect.
- **Harness.** Apertus reads multilingual invoices and reviews their content; code enforces the mandate and checks that what Apertus read is written in the invoice, where Apertus quotes it.
- **Human control.** Exceptions and uncertain payments go to a person, who approves (a one-time grant bound to client, invoice, IBAN and amount), rejects, or stops the agent with a kill switch. Overrules become lessons that Apertus writes into the firm manual.
- **Signed record.** Every request, its outcome and every human intervention is in a hash-chained, signed ledger that keeps the request the agent signed, so an auditor can re-check it. Payments leave only as an ISO 20022 pain.001.001.09 file per client.

Results. On 500 unseen synthetic invoices run once, Apertus 8B alone decided to pay **178 of 300** it should not have (171 with the same lessons); the harness **0 of 300 (95% CI 0–1.3%)**, holding 3.5% of legitimate invoices for a person: 193 paid, 232 to a person, 75 rejected. An earlier 1,000-invoice set had found a gap (29 of 600, 4.8%) that led to the quote check. On the 78-invoice test set: 33 of 45 → 0 of 45. Seventeen attacks on identity and authority

were blocked in 561 of 561 attempts, with 33 of 33 legitimate requests accepted (scenarios we wrote; not a security audit).

3. Use of Apertus

- **Model:** Apertus v1.5 8B (`swiss-ai/apertus-v1.5-8b` on the endpoint; weights `swiss-ai/Apertus-v1.5-8B`), inference only, structured JSON outputs, temperature 0, no fine-tuning, no other model (not even as a judge).
- **Five roles:** (1) extract fields from DE/FR/IT/EN invoices; (2) the *baseline*: the whole decision in one prompt; (3) review content after the hard checks; (4) for payment candidates, quote where it read IBAN, invoice number and total (checked in code); (5) distil masked reviewer notes into manual rules.
- **Where it runs:** Public AI inference API (OpenAI-compatible). Reference run and holdout: 501 recorded responses, latency median 3.3 s / p90 7.3 s, well under USD 0.10; study: 7,658 responses, about USD 0.50. Every response is recorded with its exact request (`data/cache/`), so judges replay the same run without a key.

4. Data

All data is **synthetic and fictional**, generated by templates (not a model), so labels are exact; no personal data; licence CDLA-Permissive-2.0. Reference set (seed 2026): 5 client mandates (one revoked), 19 suppliers, 120 invoices (DE 36 / FR 34 / EN 26 / IT 24), two layouts per language, Swiss number formats, VAT 8.1% or exempt, one planted fault per non-payable invoice in 11 types (revoked, out of scope, invalid IBAN, duplicate, single and monthly limit, changed IBAN, new supplier, pressure, VAT mismatch, wrong addressee). Split: 42 train (only to collect reviewer notes), 78 test; a 42-invoice holdout (seed 2027). Study sets (seeds 3031–3033): four layouts (adding e-mail and a Swiss QR-bill payment part), two faults on one invoice, and unreadable fields (no invoice number, no IBAN, illegible total); per 100: 40 payable, 45 escalate, 15 reject.

5. Evaluation

Task: pay / escalate / reject per invoice. **Primary metric:** wrong payments, non-payable invoices the system decided to pay on its own. No money moves in any evaluation; in operation a "pay" puts the invoice into the pain.001 file for the bank. Also: wrongly paid CHF, missed payments (payable invoices held), accuracy. Model failures fail closed (escalate) and are counted.

Baseline: Apertus alone with the *same* information (mandate, supplier list, this month's payments, invoice) and the same written policy and manual gen 0. Harness rows from "manual gen 1" on also use lessons; the step-by-step rows separate the two, and a baseline given manual gen 1 too (below) shows the lessons barely help on their own.

Reference test set (78 invoices: 33 payable, 45 not):

Setup	Accuracy	Wrong payments (of 45)	Wrongly paid CHF	Missed (of 33)
Baseline: Apertus alone	0.513	33	138,781	1
Apertus extraction + badge	0.872	10	34,521	0
+ review, manual gen 0	0.872	10	34,521	0
+ review, manual gen 1 (lessons)	**0.910**	**7**	**26,771**	**0**
+ two lessons promoted to hard checks ✱	0.974	2	9,290	0
+ verification (written, quoted, duplicate) ✱	0.987	1	4,650	0
+ risk-score second look (≥ 95 → person) ✱ = production	**1.000**	**0**	**0**	**0**

✱ Added after seeing these results, so not blind; the study below is. What we learned: (1) *Apertus alone fails open*: it asserts facts it did not check ("IBAN matches on file" for a broken checksum) and never sums the month, yet misses only 1 legitimate invoice, so the problem is verification, not caution. (2) *Rules belong in code, reading belongs to the model*: the badge removes every error a rule can see, with no missed payment; extraction in four languages was near perfect (IBAN, invoice no., supplier 1.000, total 0.987). (3) *Lessons help where the signal is in the words* (pressure invoices caught 0 → 3 of 4), not with arithmetic: the 8B reviewer asserts "correct totals" without adding, so those two lessons were promoted to code. Soft control finds the rule, hard control enforces it.

A fresh **holdout** of 42 invoices, run once with the design frozen up to the promoted lessons, gave 14 → 0 of 25 with no missed payment.

Study: three fresh sets, each run once. Each step was committed before the set it was tested on was run.

1. **Tune (500)** chose the second-look threshold by a rule fixed in advance (fewest wrong payments while holding at most 2% more legitimate invoices). It showed Apertus filling gaps (16 of 20 illegible totals computed from net + VAT and paid), so we added a check that the IBAN and total read are written in the invoice.
2. **Final (1,000)**, blind for that design: Apertus alone paid 337 of 600; the harness **29 (4.8%, CI 3.4–6.9%)**, every one an invoice *without an invoice number* that Apertus filled with the payment reference or the word "RECHNUNG". All other types were never paid.
3. Instead of a list of labels, Apertus now **quotes the exact words where it read IBAN, invoice number and total**, and code checks each quote is in the invoice and contains the value, and that the invoice number has a digit and is not the reference; same supplier and amount already paid this month is a possible duplicate. Re-scored, tune and final drop to 0 (not blind); the threshold rule picks 95.
4. **Confirm (500, seed 3033)**, blind for the final design. A first run with the earlier design was stopped at invoice 264 before any scoring when step 3 was decided; its recorded responses were reused.

System (confirm set)	What changed	Who decides	Wrong payments (of 300)	Wrongly paid CHF	Missed (of 200)
Apertus alone	all rules in one prompt	Apertus	178	642,157	2
Apertus alone, manual gen 1	same, with the lessons	Apertus	171	681,234	0
extraction + badge	Apertus reads; mandate, limits, account checked in code	code	89	226,007	5
+ review, manual gen 0 → gen 1	Apertus reviews what passed; lessons written by Apertus	code, then Apertus	88 → 67	172,827	5
+ promoted lessons	VAT mismatch and wrong addressee move into code	code	31	67,960	5
+ verification	Apertus quotes, code checks the quotes	Apertus and code	0	0	7
+ second look at 95 = production	high risk score → person	statistical model	**0 (CI 0–1.3%)**	**0**	**7**

Who stopped what (production, first layer that held each non-payable invoice; rejected / to a person): hard checks 185 (75 / 110), promoted lessons 39 (0 / 39), verification 56 (0 / 56), Apertus review 20 (0 / 20), second look 0. Only clear rule violations are rejected in code; everything else goes to a person. The 7 legitimate invoices held are reading errors caught before money moves (5 misread IBANs, 2 quotes that did not match); no paid invoice carried a wrong IBAN or amount. The final set gives the same split (63 / 12 / 18 / 6%). How accurately and quickly people handle the 232 was not measured.

Agent verification. Each scenario was replayed for each of the 33 paid invoices against a freshly hired agent (`security.py`, no model calls); 17 × 33 = 561 attempts, all blocked:

Scenario	Caught by
forged signature · amount or IBAN changed after signing	G1
replayed request · stale request (1 h)	G2
unknown agent key · revoked agent after kill switch	G3
agent of another client · above cap without grant · expired badge · grant reused · grant of another client · negative, zero or NaN amount · a "pay" of CHF 9,999,999 marked as not executing a payment	G4
mandate limits tampered · mandate naming another delegate · mandate revoked · above the client's limit with the badge cap set too high	G5

The legitimate control request was accepted 33 of 33 times. In the reference run the gate accepted all 78 decisions for active clients plus 4 payment files and refused the 4 for the client that had revoked its mandate; a request signed for CHF 100 can no longer be recorded as CHF 999,999 (`tests/test_core.py`).

Risk score (data-science layer). L2-regularised logistic regression (Newton/IRLS, pure Python) on 3,000 synthetic past payments with 13 features (amount z-score per supplier, changed or invalid IBAN, new supplier, round amount, sum mismatch, wrong addressee, urgency words in four languages, short due date, duplicate, limits, scope, month load); L2 weight chosen on a 20% validation split. Fraud ROC AUC 0.970 on the test set and 0.984 on the holdout (unsupervised baseline 0.878 / 0.838). It only sends a payment the harness would make to a person (score ≥ 95); on the reference set it caught the one pressure invoice the reviewer missed, on the confirm set it added nothing. Every step is shown on the app's risk-model page.

6. Limitations

- Synthetic text invoices, one generator family; no OCR or scans. The 0 of 300 is evidence for the mechanism, not a rate to expect in production; each verification check was added after a set showed its gap, and only the confirm set tests the final design blind.
- The quote check proves a value is written in the invoice, not what it means (a reference line quoted as the invoice number passes if Apertus returns no payment reference; not seen on the confirm set). For a registered supplier the expense category comes from the register, not the invoice.
- The 8B model misread the IBAN on 64 of the 1,920 study invoices that carry one (3.3%); such invoices are held, which costs reviewer time.
- Identity uses real Ed25519 and did:key but simple JSON documents, not a standard credential format; demo keys come from fixed seeds (production: HSM for firm and ledger keys); the ledger is not anchored externally.
- The web app has no login or roles; the ledger records who acted by role, not by a verified login. pain.001 files are checked structurally; an external reviewer reported that the four reference files pass the SIX pain.001.001.09 schema, which we could not reproduce; bank acceptance was not tested.
- Lessons come from 42 training cases with simulated notes and the same case types as the test set; a stronger prompted baseline (e.g. multi-step) could narrow the gap.

7. Reproducibility

`make run` in `track_2b/` on a clean checkout builds the image, replays the recorded Apertus responses (no key needed), writes `results/`, prints the table and serves the app on port 8000; `make eval` prints and exits; `python -m agent holdout` replays the holdout. `LLM_CACHE_PATH=data/cache/study_responses.jsonl python -m agent study tune` replays the study (`STUDY_FORCE=1 … study final|confirm`, `study baseline-gen1`); the final set's blind results are kept in `results/study/final_blind.json`. GitHub Actions runs the tests, builds the image and re-runs `eval` and `holdout` without a key on every push, and fails if the metrics, risk model or holdout differ from the committed files. Data generation is deterministic; no GPU needed for replay. Commit: ⟨pending⟩.

8. Possible next steps (none started)

Directions we would consider, not commitments: mandates in a standard verifiable-credential format and keys in an HSM; reading structured invoice data (QR-bill, e-invoices) directly so the model reads less; supplier profiles or per-field confidence to hold fewer legitimate invoices; a sign-off step for promoting lessons to code; measuring reviewer accuracy and workload; testing on real, anonymised payment runs with a fiduciary.

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References

- Apertus model family: https://huggingface.co/swiss-ai
- KYA-OS, Decentralized Identity Foundation (donated by Vouched): https://blog.identity.foundation/kya-os/; reference implementation `@kya-os/mcp` (MIT): https://github.com/decentralized-identity/kya-os-mcp
- ISO 20022 pain.001.001.09 (customer credit transfer initiation)
- FINMA Guidance 08/2024 on governance and risk management when using AI
- Valindex (2026-02), count of Swiss firms in NOGA 6920 — secondary source